

1. Idiosyncratic risk is large.

Since there are no return series for direct real estate, benchmarking a single real estate investment or a portfolio of real estate properties is an important problem. Moreover, the “return” from the fund’s real estate portfolio can differ significantly from a benchmark index—and neither represents true returns. This is also related to . . .

2. Heterogeneity across properties.

Carole’s fund is likely buying only a few properties, and in an extreme case only one. While we have talked about property at an “index” level, there can be large differences across property sectors and even across properties within a given sector. Different property sectors offer different inflation-hedging abilities. Huang and Hudson-Wilson (2007) find that office is the best property sector at hedging inflation risk and retail one of the worst.

3. Investment vehicles typically involve high leverage.

Real estate investment is more than just a real estate play. Most real estate investment vehicles bundle fixed income factors as well. This is all the more reason for thinking about factors and looking through the “real estate” label.

4. Active management.

Bond and stock investments can be passive. But direct real estate investment can be done actively only to maintain and enhance returns. Active management requires selecting a manager, which in turn means agency issues. I take up these considerations in Part III of the book.

If real estate is not that real, what drives real estate returns? We circle back here to the baseline models in urban economics—property market fundamentals matter, and movements in consumer or producer prices are just one of many factors affecting spatial equilibria. Other macro factors, including interest rates and economic growth, also play a role.⁴²

The micro level matters, too. Direct real estate returns comprise both income components and capital gains, but cash components matter more in the short run due to the illiquid nature of direct real estate. A long-term lease that has inflation-indexed rents and is triple net (where all operating expenses such as taxes, insurance, utilities, and maintenance are paid by the tenant) is a perfect income inflation hedge. The worst income inflation hedge is a long-term contract with a fixed rent where the landlord is responsible for all expenses.

So what is a real asset? The best one in this chapter turns out to be cash (T-bills), in terms of moving together with inflation. *Cash is too often underestimated as an inflation hedge.* But T-bill returns are lower than the expected returns of other asset classes. Carole should note that real bonds are definitely not that real, and gold is badly overrated as an inflation hedge. It is challenging to find

⁴² See Chan, Hendershott, and Sanders (1990).